ANNUAL OPERATING BUDGET

Lakeshore Corporate Center | Madison, WI

Property	Lakeshore Corporate Center
Fiscal Year	2026
Submitted By	Lumen Residential Services
Submitted	May 16, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$184,893	$195,667	$200,334	$15,441	8.4%	$40,066.87
5010 Loss to Lease	$273,085	$265,213	$279,589	$6,504	2.4%	$55,917.81
5020 Vacancy Loss	$266,758	$268,592	$277,852	$11,094	4.2%	$55,570.47
5030 Concessions	$275,100	$278,471	$288,203	$13,103	4.8%	$57,640.57
5040 Bad Debt	$278,452	$296,068	$315,216	$36,764	13.2%	$63,043.20
5050 Late Fees	$116,671	$112,418	$120,093	$3,423	2.9%	$24,018.66
5060 Utility Reimbursements	$314,617	$338,308	$360,790	$46,173	14.7%	$72,158.05
5070 Parking Income	$123,531	$131,979	$133,308	$9,777	7.9%	$26,661.67
5080 Application Fees	$135,039	$144,901	$146,728	$11,689	8.7%	$29,345.62
5090 Pet Rent	$96,664	$97,338	$101,892	$5,229	5.4%	$20,378.44
5100 Laundry Income	$290,597	$280,247	$297,236	$6,640	2.3%	$59,447.29
5110 Cable/Internet Revenue	$277,752	$273,071	$274,688	-$3,064	-1.1%	$54,937.52
5120 CAM Reimbursements	$149,337	$153,904	$161,800	$12,463	8.3%	$32,359.98
5130 Tax Reimbursements	$178,104	$167,267	$176,820	-$1,283	-0.7%	$35,364.08
5140 Insurance Reimbursements	$189,017	$175,900	$184,410	-$4,607	-2.4%	$36,881.99
5150 Percentage Rent	$268,185	$287,661	$291,706	$23,521	8.8%	$58,341.26
5160 Misc. Income	$326,210	$318,794	$336,487	$10,277	3.2%	$67,297.41
5170 Payroll - Management	$256,028	$270,723	$277,866	$21,838	8.5%	$55,573.21
5180 Payroll - Leasing	$109,001	$109,350	$109,905	$904	0.8%	$21,980.93
5190 Payroll - Maintenance	$322,652	$330,033	$342,048	$19,396	6.0%	$68,409.62
5200 Payroll Taxes & Benefits	$31,090	$31,668	$33,755	$2,665	8.6%	$6,751.03
5210 Repairs - Plumbing	$270,590	$271,620	$284,952	$14,362	5.3%	$56,990.47

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$271,923	$273,351	$292,402	$20,479	7.5%	$58,480.49
5420 Office Supplies	$172,011	$168,577	$170,024	-$1,987	-1.2%	$34,004.85
5430 Legal & Professional	$115,060	$116,341	$123,027	$7,967	6.9%	$24,605.46
5440 Accounting & Audit	$95,160	$95,894	$96,166	$1,005	1.1%	$19,233.12
5450 Licenses & Permits	$278,497	$262,301	$269,072	-$9,426	-3.4%	$53,814.30
5460 Management Fee	$150,229	$142,100	$149,715	-$514	-0.3%	$29,943.03
5470 Property Insurance	$149,128	$144,252	$150,343	$1,215	0.8%	$30,068.58
5480 Real Estate Taxes	$45,569	$46,365	$48,888	$3,319	7.3%	$9,777.61
5490 Asset Management Fee	$161,700	$165,461	$170,390	$8,689	5.4%	$34,077.95
5500 Replacement Reserves	$235,999	$254,193	$261,250	$25,251	10.7%	$52,250.05
5510 Roof Repairs	$19,405	$19,016	$19,670	$264	1.4%	$3,933.94
5520 Parking Lot Repairs	$65,409	$66,968	$70,731	$5,322	8.1%	$14,146.14
5530 Signage	$240,372	$240,734	$256,108	$15,735	6.5%	$51,221.56
5540 Tenant Improvements	$86,781	$83,373	$84,967	-$1,814	-2.1%	$16,993.40
5550 Leasing Commissions	$65,676	$65,935	$67,096	$1,420	2.2%	$13,419.13
5000 Gross Potential Rent	$117,925	$116,259	$124,113	$6,187	5.2%	$24,822.50
5010 Loss to Lease	$86,010	$79,303	$82,408	-$3,601	-4.2%	$16,481.68
5020 Vacancy Loss	$87,895	$84,241	$85,459	-$2,436	-2.8%	$17,091.86
5030 Concessions	$149,389	$150,733	$155,559	$6,170	4.1%	$31,111.75
5040 Bad Debt	$154,627	$166,791	$173,344	$18,717	12.1%	$34,668.83
5050 Late Fees	$158,936	$168,278	$176,664	$17,728	11.2%	$35,332.85
5060 Utility Reimbursements	$227,578	$227,945	$240,646	$13,069	5.7%	$48,129.23
5070 Parking Income	$171,807	$171,404	$177,003	$5,196	3.0%	$35,400.68
5080 Application Fees	$126,775	$117,877	$119,125	-$7,650	-6.0%	$23,825.10
5090 Pet Rent	$275,537	$262,980	$279,019	$3,482	1.3%	$55,803.83
5100 Laundry Income	$206,848	$195,218	$206,506	-$342	-0.2%	$41,301.17
5110 Cable/Internet Revenue	$25,573	$24,670	$25,698	$125	0.5%	$5,139.67
5120 CAM Reimbursements	$181,219	$187,815	$194,599	$13,380	7.4%	$38,919.73
5130 Tax Reimbursements	$157,936	$162,857	$172,774	$14,838	9.4%	$34,554.75
5140 Insurance Reimbursements	$302,399	$311,987	$324,085	$21,686	7.2%	$64,817.07
5150 Percentage Rent	$18,728	$17,560	$18,640	-$88	-0.5%	$3,727.99
5160 Misc. Income	$325,578	$347,379	$361,027	$35,449	10.9%	$72,205.42
5170 Payroll - Management	$27,502	$27,209	$28,946	$1,444	5.3%	$5,789.23
5180 Payroll - Leasing	$280,976	$297,912	$317,217	$36,241	12.9%	$63,443.39
5190 Payroll - Maintenance	$87,555	$90,251	$90,298	$2,743	3.1%	$18,059.60
5200 Payroll Taxes & Benefits	$316,725	$323,240	$332,871	$16,146	5.1%	$66,574.21
5210 Repairs - Plumbing	$228,413	$218,399	$223,346	-$5,068	-2.2%	$44,669.12
5220 Repairs - HVAC	$205,584	$221,242	$231,455	$25,871	12.6%	$46,290.90
5230 Repairs - Electrical	$106,516	$100,745	$106,347	-$169	-0.2%	$21,269.49
5240 Repairs - Appliances	$198,462	$194,037	$205,666	$7,205	3.6%	$41,133.27
5250 Painting & Decorating	$66,910	$63,464	$65,942	-$968	-1.4%	$13,188.44

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Valuation Discussion

Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 12 years and in-place rents average $24 per square foot, full service gross. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.83x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $218,000, representing a 5.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 6.32% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Collections for the period were 92.8% of billed charges, with bad debt of 6.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 2 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 8 years and in-place rents average $24 per square foot, full service gross.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.6% of billed charges, with bad debt of 5.9% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Service requests are tracked through a work-order system with an average completion time of 26 hours.

Operating Performance

Operating expenses totaled $404,000 or approximately 35.19 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.69% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Debt service coverage ratio was 8.11x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 8.09x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $22,000 or approximately 33.57 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 8 years and in-place rents average $24 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 36 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period.

Leasing and Marketing

Collections for the period were 94.6% of billed charges, with bad debt of 3.6% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 10 years and in-place rents average $24 per square foot, full service gross.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Weighted average lease term remaining is 12 years and in-place rents average $24 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 93.9% of billed charges, with bad debt of 6.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day.

Income and Expense Review

Effective gross income for the trailing period was $37,000, representing a 5.0% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $362,000 or approximately 18.47 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 3 years and in-place rents average $24 per square foot, full service gross.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$188,527	$181,945	$192,927	$4,400	2.3%	$38,585.34
5270 Make-Ready / Turnover	$27,254	$25,874	$26,882	-$372	-1.4%	$5,376.42
5280 Landscaping Contract	$59,129	$59,471	$61,944	$2,816	4.8%	$12,388.88
5290 Snow Removal	$143,048	$140,604	$145,849	$2,801	2.0%	$29,169.72
5300 Janitorial	$282,345	$294,978	$299,650	$17,304	6.1%	$59,929.93
5310 Pest Control	$40,041	$43,236	$44,478	$4,437	11.1%	$8,895.59
5320 Trash Removal	$306,998	$291,233	$307,688	$690	0.2%	$61,537.63
5330 Elevator Contract	$39,742	$39,425	$41,947	$2,205	5.5%	$8,389.43
5340 Fire & Life Safety	$96,597	$103,768	$111,010	$14,413	14.9%	$22,201.97
5350 Security	$73,595	$69,362	$70,527	-$3,068	-4.2%	$14,105.38
5360 Electricity - Common	$231,221	$236,578	$238,333	$7,112	3.1%	$47,666.67
5370 Gas - Common	$311,206	$306,213	$312,844	$1,637	0.5%	$62,568.74
5380 Water & Sewer	$271,678	$282,720	$285,274	$13,596	5.0%	$57,054.74
5390 Telephone/Internet	$284,386	$261,988	$277,381	-$7,005	-2.5%	$55,476.13
5400 Advertising	$145,223	$133,903	$141,293	-$3,931	-2.7%	$28,258.53
5410 Resident Events	$174,697	$177,663	$189,654	$14,958	8.6%	$37,930.87
5420 Office Supplies	$289,320	$285,811	$295,544	$6,224	2.2%	$59,108.76
5430 Legal & Professional	$20,371	$20,313	$21,436	$1,065	5.2%	$4,287.15
5440 Accounting & Audit	$52,462	$54,725	$58,381	$5,918	11.3%	$11,676.10
5450 Licenses & Permits	$44,482	$44,185	$46,428	$1,946	4.4%	$9,285.56
5460 Management Fee	$97,570	$89,825	$91,240	-$6,330	-6.5%	$18,248.07
5470 Property Insurance	$157,116	$168,427	$177,986	$20,870	13.3%	$35,597.21
5480 Real Estate Taxes	$82,876	$83,218	$84,408	$1,532	1.8%	$16,881.50
5490 Asset Management Fee	$274,794	$269,304	$282,012	$7,217	2.6%	$56,402.37
5500 Replacement Reserves	$195,374	$208,260	$212,685	$17,311	8.9%	$42,536.94
5510 Roof Repairs	$172,962	$177,490	$177,515	$4,554	2.6%	$35,503.09
5520 Parking Lot Repairs	$328,862	$352,274	$374,443	$45,582	13.9%	$74,888.65
5530 Signage	$296,261	$277,238	$283,841	-$12,420	-4.2%	$56,768.17
5540 Tenant Improvements	$324,654	$300,488	$314,087	-$10,567	-3.3%	$62,817.44
5550 Leasing Commissions	$110,940	$112,999	$120,555	$9,615	8.7%	$24,111.09
5000 Gross Potential Rent	$117,373	$116,867	$118,595	$1,222	1.0%	$23,718.98
5010 Loss to Lease	$174,676	$179,547	$187,170	$12,494	7.2%	$37,433.97
5020 Vacancy Loss	$145,211	$138,364	$144,578	-$632	-0.4%	$28,915.65
5030 Concessions	$238,539	$249,301	$265,888	$27,349	11.5%	$53,177.52
5040 Bad Debt	$67,827	$70,323	$74,127	$6,300	9.3%	$14,825.42
5050 Late Fees	$48,785	$47,735	$47,973	-$812	-1.7%	$9,594.66
5060 Utility Reimbursements	$310,650	$299,909	$300,005	-$10,644	-3.4%	$60,001.04
5070 Parking Income	$97,152	$90,518	$93,129	-$4,023	-4.1%	$18,625.87
5080 Application Fees	$307,969	$297,100	$316,002	$8,033	2.6%	$63,200.31
5090 Pet Rent	$128,676	$119,043	$122,224	-$6,452	-5.0%	$24,444.75
5100 Laundry Income	$155,613	$162,490	$170,283	$14,669	9.4%	$34,056.54

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Operating Performance

The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $194,000, representing a 4.5% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 45 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 6 years and in-place rents average $24 per square foot, full service gross. Operating expenses totaled $182,000 or approximately 27.32 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $228,000, representing a 12.2% increase over the prior year.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 46 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 94.7% of billed charges, with bad debt of 3.5% of gross potential income. Weighted average lease term remaining is 6 years and in-place rents average $24 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center.

Weighted average lease term remaining is 9 years and in-place rents average $24 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

Weighted average lease term remaining is 5 years and in-place rents average $24 per square foot, full service gross. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.31x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $292,000, representing a 11.2% increase over the prior year.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 5.93% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 5.29x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $373,000, representing a 5.1% increase over the prior year.

Property Operations

Weighted average lease term remaining is 11 years and in-place rents average $24 per square foot, full service gross. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Floor plates are efficient and column-spacing supports open and private-office layouts.

The building features a renovated lobby, structured parking at a ratio of 13 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 40 hours.

Operating Performance

Weighted average lease term remaining is 8 years and in-place rents average $24 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $107,000 or approximately 6.91 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x.

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Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$55,806	$53,424	$55,797	-$9	-0.0%	$11,159.31
5120 CAM Reimbursements	$74,116	$72,577	$74,538	$422	0.6%	$14,907.63
5130 Tax Reimbursements	$290,551	$297,564	$313,403	$22,851	7.9%	$62,680.57
5140 Insurance Reimbursements	$254,139	$250,048	$263,576	$9,436	3.7%	$52,715.10
5150 Percentage Rent	$60,057	$59,822	$63,358	$3,302	5.5%	$12,671.70
5160 Misc. Income	$99,489	$103,879	$105,140	$5,651	5.7%	$21,027.97
5170 Payroll - Management	$48,046	$48,740	$49,157	$1,111	2.3%	$9,831.35
5180 Payroll - Leasing	$211,567	$220,065	$224,981	$13,414	6.3%	$44,996.19
5190 Payroll - Maintenance	$214,267	$204,098	$209,152	-$5,115	-2.4%	$41,830.37
5200 Payroll Taxes & Benefits	$280,582	$270,692	$280,967	$385	0.1%	$56,193.41
5210 Repairs - Plumbing	$65,977	$69,566	$73,726	$7,750	11.7%	$14,745.26
5220 Repairs - HVAC	$62,137	$57,545	$60,048	-$2,089	-3.4%	$12,009.55
5230 Repairs - Electrical	$100,292	$104,209	$111,040	$10,748	10.7%	$22,207.99
5240 Repairs - Appliances	$94,509	$91,102	$92,446	-$2,063	-2.2%	$18,489.23
5250 Painting & Decorating	$307,030	$293,035	$299,263	-$7,767	-2.5%	$59,852.59
5260 Flooring	$79,380	$83,599	$89,058	$9,678	12.2%	$17,811.54
5270 Make-Ready / Turnover	$281,989	$298,368	$305,741	$23,752	8.4%	$61,148.20
5280 Landscaping Contract	$236,254	$243,093	$247,031	$10,777	4.6%	$49,406.26
5290 Snow Removal	$322,694	$336,159	$352,267	$29,573	9.2%	$70,453.49
5300 Janitorial	$22,241	$21,038	$21,942	-$298	-1.3%	$4,388.42
5310 Pest Control	$108,191	$111,359	$113,127	$4,936	4.6%	$22,625.40
5320 Trash Removal	$194,128	$197,499	$198,249	$4,121	2.1%	$39,649.82
5330 Elevator Contract	$141,845	$144,718	$154,154	$12,309	8.7%	$30,830.77
5340 Fire & Life Safety	$302,389	$307,400	$320,431	$18,042	6.0%	$64,086.22
5350 Security	$145,004	$137,252	$143,030	-$1,974	-1.4%	$28,606.01
5360 Electricity - Common	$167,135	$157,018	$166,566	-$569	-0.3%	$33,313.18
5370 Gas - Common	$136,531	$141,862	$145,642	$9,110	6.7%	$29,128.32
5380 Water & Sewer	$267,294	$266,076	$272,127	$4,833	1.8%	$54,425.40
5390 Telephone/Internet	$211,112	$222,425	$237,544	$26,432	12.5%	$47,508.90
5400 Advertising	$159,027	$152,713	$158,858	-$169	-0.1%	$31,771.54
5410 Resident Events	$325,428	$348,166	$353,753	$28,325	8.7%	$70,750.52
5420 Office Supplies	$305,578	$326,819	$346,293	$40,714	13.3%	$69,258.53
5430 Legal & Professional	$81,334	$80,366	$81,935	$602	0.7%	$16,387.10
5440 Accounting & Audit	$212,505	$209,982	$215,109	$2,604	1.2%	$43,021.84
5450 Licenses & Permits	$220,236	$219,088	$220,178	-$58	-0.0%	$44,035.51
5460 Management Fee	$221,836	$227,359	$238,649	$16,813	7.6%	$47,729.80
5470 Property Insurance	$180,316	$183,272	$192,063	$11,747	6.5%	$38,412.51
5480 Real Estate Taxes	$132,803	$132,182	$138,161	$5,359	4.0%	$27,632.22
5490 Asset Management Fee	$217,751	$208,515	$211,940	-$5,811	-2.7%	$42,387.99
5500 Replacement Reserves	$224,885	$228,336	$231,224	$6,340	2.8%	$46,244.88
5510 Roof Repairs	$57,726	$55,150	$56,588	-$1,138	-2.0%	$11,317.52

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Income and Expense Review

The going-in capitalization rate of 6.45% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Effective gross income for the trailing period was $145,000, representing a 11.1% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $264,000 or approximately 47.24 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 12 years and in-place rents average $24 per square foot, full service gross. Debt service coverage ratio was 5.35x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center.

Property Operations

Collections for the period were 92.4% of billed charges, with bad debt of 4.5% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 8 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 8 years and in-place rents average $24 per square foot, full service gross.

The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 5 years and in-place rents average $24 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day.

Financial Analysis

Debt service coverage ratio was 7.59x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $101,000, representing a 6.7% increase over the prior year. Operating expenses totaled $114,000 or approximately 44.82 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 6.42x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $13,000, representing a 12.3% increase over the prior year.

Leasing and Marketing

Collections for the period were 88.8% of billed charges, with bad debt of 4.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 93.6% of billed charges, with bad debt of 4.8% of gross potential income. The building features a renovated lobby, structured parking at a ratio of 17 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 7 years and in-place rents average $24 per square foot, full service gross. Effective gross income for the trailing period was $180,000, representing a 11.1% increase over the prior year. Debt service coverage ratio was 7.69x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Operating expenses totaled $98,000 or approximately 11.48 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Operating expenses totaled $90,000 or approximately 43.96 per square foot, with real estate taxes representing the largest line item.

Property Operations

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5520 Parking Lot Repairs	$92,360	$87,397	$88,611	-$3,749	-4.1%	$17,722.11
5530 Signage	$179,310	$177,313	$180,868	$1,559	0.9%	$36,173.67
5540 Tenant Improvements	$325,924	$329,377	$344,541	$18,617	5.7%	$68,908.14
5550 Leasing Commissions	$145,428	$147,980	$156,627	$11,199	7.7%	$31,325.48
5000 Gross Potential Rent	$170,544	$159,177	$168,120	-$2,424	-1.4%	$33,623.98
5010 Loss to Lease	$218,389	$207,942	$221,624	$3,235	1.5%	$44,324.74
5020 Vacancy Loss	$225,808	$221,997	$226,737	$928	0.4%	$45,347.30
5030 Concessions	$205,591	$204,263	$217,074	$11,483	5.6%	$43,414.75
5040 Bad Debt	$275,494	$270,319	$279,327	$3,833	1.4%	$55,865.37
5050 Late Fees	$251,219	$237,728	$252,887	$1,668	0.7%	$50,577.43
5060 Utility Reimbursements	$268,385	$271,287	$282,047	$13,663	5.1%	$56,409.44
5070 Parking Income	$68,645	$71,205	$73,337	$4,692	6.8%	$14,667.46
5080 Application Fees	$243,118	$225,370	$239,172	-$3,946	-1.6%	$47,834.39
5090 Pet Rent	$77,219	$79,136	$79,906	$2,688	3.5%	$15,981.24
5100 Laundry Income	$325,598	$306,810	$322,142	-$3,455	-1.1%	$64,428.45
5110 Cable/Internet Revenue	$206,397	$218,559	$233,794	$27,397	13.3%	$46,758.76
5120 CAM Reimbursements	$110,673	$118,630	$123,345	$12,672	11.5%	$24,668.98
5130 Tax Reimbursements	$309,146	$330,635	$344,526	$35,380	11.4%	$68,905.21
5140 Insurance Reimbursements	$169,215	$163,019	$164,429	-$4,786	-2.8%	$32,885.80
5150 Percentage Rent	$273,801	$257,906	$266,779	-$7,022	-2.6%	$53,355.75
5160 Misc. Income	$29,149	$31,425	$31,697	$2,548	8.7%	$6,339.42
5170 Payroll - Management	$231,975	$245,254	$251,091	$19,116	8.2%	$50,218.11
5180 Payroll - Leasing	$83,575	$81,576	$84,782	$1,206	1.4%	$16,956.35
5190 Payroll - Maintenance	$124,147	$125,913	$132,843	$8,696	7.0%	$26,568.60
5200 Payroll Taxes & Benefits	$134,175	$134,739	$138,225	$4,051	3.0%	$27,645.09
5210 Repairs - Plumbing	$311,752	$326,635	$331,365	$19,613	6.3%	$66,272.93
5220 Repairs - HVAC	$296,100	$272,566	$289,295	-$6,805	-2.3%	$57,858.96
5230 Repairs - Electrical	$99,972	$95,254	$98,850	-$1,122	-1.1%	$19,770.00
5240 Repairs - Appliances	$190,503	$199,317	$209,726	$19,223	10.1%	$41,945.24
5250 Painting & Decorating	$301,547	$308,628	$325,397	$23,850	7.9%	$65,079.35
5260 Flooring	$118,336	$114,086	$115,349	-$2,987	-2.5%	$23,069.87
5270 Make-Ready / Turnover	$30,375	$30,028	$32,036	$1,661	5.5%	$6,407.18
5280 Landscaping Contract	$93,093	$90,385	$90,687	-$2,406	-2.6%	$18,137.38
5290 Snow Removal	$211,134	$214,767	$216,409	$5,275	2.5%	$43,281.82
5300 Janitorial	$44,011	$41,491	$42,300	-$1,711	-3.9%	$8,459.96
5310 Pest Control	$22,246	$23,581	$24,374	$2,128	9.6%	$4,874.82
5320 Trash Removal	$291,658	$314,927	$325,468	$33,810	11.6%	$65,093.62
5330 Elevator Contract	$96,409	$97,622	$104,445	$8,036	8.3%	$20,888.93
5340 Fire & Life Safety	$276,340	$257,582	$270,975	-$5,365	-1.9%	$54,194.95
5350 Security	$78,245	$78,563	$81,060	$2,815	3.6%	$16,211.91
5360 Electricity - Common	$88,914	$87,317	$91,815	$2,901	3.3%	$18,363.02

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Operating Performance

The building features a renovated lobby, structured parking at a ratio of 5 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $389,000, representing a 3.7% increase over the prior year.

Weighted average lease term remaining is 6 years and in-place rents average $24 per square foot, full service gross. Debt service coverage ratio was 6.97x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $267,000 or approximately 46.32 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 47 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Leasing and Marketing

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 92.9% of billed charges, with bad debt of 6.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 10 years and in-place rents average $24 per square foot, full service gross.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.8% of billed charges, with bad debt of 3.5% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 25 per 1,000 square feet, and a tenant lounge with fitness center.

Valuation Discussion

Effective gross income for the trailing period was $106,000, representing a 5.0% increase over the prior year. The going-in capitalization rate of 6.88% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 46 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.75x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $313,000 or approximately 31.65 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.51% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Weighted average lease term remaining is 9 years and in-place rents average $24 per square foot, full service gross. Collections for the period were 94.8% of billed charges, with bad debt of 5.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Floor plates are efficient and column-spacing supports open and private-office layouts.

Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 93.2% of billed charges, with bad debt of 4.8% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center.

Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $260,000 or approximately 18.49 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 7.05% reflects the in-place income and the stabilized occupancy assumption.

The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Operating expenses totaled $164,000 or approximately 22.20 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$45,160	$45,764	$48,627	$3,468	7.7%	$9,725.47
5430 Legal & Professional	$37,401	$36,004	$37,061	-$340	-0.9%	$7,412.19
5440 Accounting & Audit	$134,095	$137,882	$147,342	$13,247	9.9%	$29,468.31
5450 Licenses & Permits	$26,843	$26,603	$27,485	$642	2.4%	$5,497.08
5460 Management Fee	$235,942	$225,316	$240,465	$4,523	1.9%	$48,092.95
5470 Property Insurance	$216,076	$198,936	$201,816	-$14,260	-6.6%	$40,363.11
5480 Real Estate Taxes	$45,815	$43,692	$45,820	$6	0.0%	$9,164.09
5490 Asset Management Fee	$319,916	$322,029	$330,919	$11,002	3.4%	$66,183.71
5500 Replacement Reserves	$80,863	$77,392	$78,330	-$2,533	-3.1%	$15,665.98
5510 Roof Repairs	$45,250	$45,192	$45,285	$34	0.1%	$9,056.90
5520 Parking Lot Repairs	$115,969	$112,881	$119,119	$3,150	2.7%	$23,823.81
5530 Signage	$225,245	$225,594	$226,771	$1,527	0.7%	$45,354.22
5540 Tenant Improvements	$132,357	$135,396	$136,566	$4,209	3.2%	$27,313.19
5550 Leasing Commissions	$46,650	$47,620	$49,914	$3,264	7.0%	$9,982.84
5000 Gross Potential Rent	$290,003	$301,069	$310,207	$20,204	7.0%	$62,041.34
5010 Loss to Lease	$26,730	$25,480	$25,837	-$893	-3.3%	$5,167.31
5020 Vacancy Loss	$254,129	$261,579	$271,106	$16,978	6.7%	$54,221.27
5030 Concessions	$188,060	$186,070	$197,190	$9,130	4.9%	$39,438.09
5040 Bad Debt	$188,433	$202,858	$215,152	$26,718	14.2%	$43,030.34
5050 Late Fees	$76,549	$79,440	$81,396	$4,847	6.3%	$16,279.20
5060 Utility Reimbursements	$165,243	$167,938	$176,755	$11,512	7.0%	$35,350.96
5070 Parking Income	$68,838	$71,386	$76,149	$7,312	10.6%	$15,229.84
5080 Application Fees	$211,124	$206,478	$212,738	$1,614	0.8%	$42,547.65
5090 Pet Rent	$277,126	$276,584	$280,084	$2,958	1.1%	$56,016.75
5100 Laundry Income	$247,696	$260,002	$264,237	$16,541	6.7%	$52,847.36
5110 Cable/Internet Revenue	$82,307	$79,389	$81,377	-$931	-1.1%	$16,275.35
5120 CAM Reimbursements	$68,887	$68,374	$69,045	$158	0.2%	$13,809.02
5130 Tax Reimbursements	$191,279	$192,035	$205,126	$13,847	7.2%	$41,025.25
5140 Insurance Reimbursements	$222,293	$213,522	$225,461	$3,168	1.4%	$45,092.22
5150 Percentage Rent	$174,031	$177,251	$183,326	$9,295	5.3%	$36,665.23
5160 Misc. Income	$99,119	$98,538	$103,573	$4,454	4.5%	$20,714.66
5170 Payroll - Management	$155,308	$146,492	$151,201	-$4,107	-2.6%	$30,240.19
5180 Payroll - Leasing	$42,473	$40,561	$40,799	-$1,675	-3.9%	$8,159.72
5190 Payroll - Maintenance	$275,328	$268,079	$271,672	-$3,657	-1.3%	$54,334.31
5200 Payroll Taxes & Benefits	$278,612	$262,637	$268,292	-$10,320	-3.7%	$53,658.39
5210 Repairs - Plumbing	$267,977	$260,959	$268,922	$945	0.4%	$53,784.46
5220 Repairs - HVAC	$236,092	$237,372	$246,479	$10,387	4.4%	$49,295.83
5230 Repairs - Electrical	$201,883	$195,135	$198,852	-$3,031	-1.5%	$39,770.48
5240 Repairs - Appliances	$52,867	$52,603	$54,384	$1,517	2.9%	$10,876.83
5250 Painting & Decorating	$64,392	$62,801	$63,895	-$497	-0.8%	$12,779.06
5260 Flooring	$57,695	$57,304	$60,164	$2,470	4.3%	$12,032.87
5270 Make-Ready / Turnover	$45,484	$46,603	$47,004	$1,520	3.3%	$9,400.84

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Income and Expense Review

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The building features a renovated lobby, structured parking at a ratio of 36 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 6.66% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts.

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $261,000 or approximately 17.13 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $245,000, representing a 3.4% increase over the prior year.

Leasing and Marketing

Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Weighted average lease term remaining is 9 years and in-place rents average $24 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 38 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Weighted average lease term remaining is 9 years and in-place rents average $24 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center.

Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 41 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $378,000 or approximately 11.65 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $403,000, representing a 2.8% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts.

The going-in capitalization rate of 5.96% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $340,000 or approximately 14.19 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $153,000, representing a 7.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period.

Management Commentary

Weighted average lease term remaining is 8 years and in-place rents average $24 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Collections for the period were 90.7% of billed charges, with bad debt of 7.7% of gross potential income.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.2% of billed charges, with bad debt of 7.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 48 per 1,000 square feet, and a tenant lounge with fitness center.

Operating Performance

Operating expenses totaled $221,000 or approximately 27.85 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.38% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.76x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 7 years and in-place rents average $24 per square foot, full service gross.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5220 Repairs - HVAC	$323,543	$301,025	$319,002	-$4,541	-1.4%	$63,800.38
5230 Repairs - Electrical	$281,648	$260,776	$274,450	-$7,198	-2.6%	$54,890.01
5240 Repairs - Appliances	$178,372	$176,445	$177,497	-$874	-0.5%	$35,499.45
5250 Painting & Decorating	$252,943	$243,171	$259,039	$6,096	2.4%	$51,807.76
5260 Flooring	$173,187	$166,257	$169,718	-$3,469	-2.0%	$33,943.69
5270 Make-Ready / Turnover	$278,351	$261,855	$273,078	-$5,273	-1.9%	$54,615.51
5280 Landscaping Contract	$50,452	$48,956	$49,442	-$1,010	-2.0%	$9,888.45
5290 Snow Removal	$154,776	$158,655	$159,074	$4,298	2.8%	$31,814.85
5300 Janitorial	$275,117	$268,783	$272,120	-$2,997	-1.1%	$54,424.01
5310 Pest Control	$303,037	$308,663	$313,612	$10,575	3.5%	$62,722.35
5320 Trash Removal	$64,441	$64,675	$66,288	$1,847	2.9%	$13,257.60
5330 Elevator Contract	$110,913	$110,006	$116,216	$5,303	4.8%	$23,243.24
5340 Fire & Life Safety	$83,067	$89,420	$95,450	$12,383	14.9%	$19,089.99
5350 Security	$106,864	$100,418	$106,738	-$126	-0.1%	$21,347.53
5360 Electricity - Common	$173,212	$173,740	$179,216	$6,003	3.5%	$35,843.13
5370 Gas - Common	$65,039	$63,532	$67,361	$2,322	3.6%	$13,472.27
5380 Water & Sewer	$151,156	$159,203	$169,169	$18,013	11.9%	$33,833.70
5390 Telephone/Internet	$283,328	$288,338	$291,023	$7,694	2.7%	$58,204.52
5400 Advertising	$85,705	$88,080	$90,607	$4,902	5.7%	$18,121.42
5410 Resident Events	$252,648	$269,564	$287,740	$35,092	13.9%	$57,547.97
5420 Office Supplies	$65,758	$63,060	$64,962	-$795	-1.2%	$12,992.45
5430 Legal & Professional	$16,443	$16,404	$16,938	$495	3.0%	$3,387.67
5440 Accounting & Audit	$119,459	$128,361	$131,279	$11,820	9.9%	$26,255.70
5450 Licenses & Permits	$164,332	$156,721	$161,792	-$2,540	-1.5%	$32,358.30
5460 Management Fee	$130,856	$131,914	$137,737	$6,882	5.3%	$27,547.48
5470 Property Insurance	$198,575	$190,136	$202,859	$4,284	2.2%	$40,571.72
5480 Real Estate Taxes	$129,585	$127,380	$129,788	$203	0.2%	$25,957.64
5490 Asset Management Fee	$308,348	$308,729	$312,108	$3,759	1.2%	$62,421.59
5500 Replacement Reserves	$177,666	$191,642	$198,263	$20,597	11.6%	$39,652.51
5510 Roof Repairs	$234,954	$242,483	$258,735	$23,781	10.1%	$51,747.02
5520 Parking Lot Repairs	$168,151	$159,579	$169,693	$1,542	0.9%	$33,938.67
5530 Signage	$235,811	$224,603	$230,491	-$5,320	-2.3%	$46,098.18
5540 Tenant Improvements	$278,440	$265,916	$284,160	$5,720	2.1%	$56,831.99
5550 Leasing Commissions	$162,617	$171,862	$181,149	$18,532	11.4%	$36,229.77
5000 Gross Potential Rent	$219,605	$209,872	$223,634	$4,029	1.8%	$44,726.79
5010 Loss to Lease	$250,867	$244,714	$245,468	-$5,399	-2.2%	$49,093.58
5020 Vacancy Loss	$110,072	$107,899	$108,286	-$1,786	-1.6%	$21,657.19
5030 Concessions	$311,402	$291,485	$292,171	-$19,230	-6.2%	$58,434.29
5040 Bad Debt	$266,885	$248,680	$250,201	-$16,684	-6.3%	$50,040.15
5050 Late Fees	$179,438	$176,975	$180,988	$1,550	0.9%	$36,197.57
5060 Utility Reimbursements	$47,869	$44,266	$46,780	-$1,090	-2.3%	$9,355.95

Report generated 05/16/2025. Figures are unaudited and subject to change.

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Financial Analysis

Effective gross income for the trailing period was $196,000, representing a 2.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $280,000, representing a 3.0% increase over the prior year. Debt service coverage ratio was 6.40x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $277,000 or approximately 36.85 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 8 years and in-place rents average $24 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Collections for the period were 91.5% of billed charges, with bad debt of 3.1% of gross potential income.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 12 years and in-place rents average $24 per square foot, full service gross. Collections for the period were 92.8% of billed charges, with bad debt of 5.5% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 10 hours.

Valuation Discussion

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 5 years and in-place rents average $24 per square foot, full service gross. Operating expenses totaled $356,000 or approximately 9.32 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 5 years and in-place rents average $24 per square foot, full service gross. Operating expenses totaled $280,000 or approximately 28.44 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $232,000, representing a 5.8% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center.

Management Commentary

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. The building features a renovated lobby, structured parking at a ratio of 30 per 1,000 square feet, and a tenant lounge with fitness center.

Service requests are tracked through a work-order system with an average completion time of 44 hours. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Financial Analysis

Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $39,000, representing a 7.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Weighted average lease term remaining is 6 years and in-place rents average $24 per square foot, full service gross. The going-in capitalization rate of 5.62% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center.

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Summary and Notes

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $374,000, representing a 8.3% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Operating expenses totaled $262,000 or approximately 21.80 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Management fees are calculated at 3.0% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. The building features a renovated lobby, structured parking at a ratio of 22 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $304,000, representing a 9.3% increase over the prior year.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 96.6% of billed charges, with bad debt of 5.5% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Service requests are tracked through a work-order system with an average completion time of 14 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Collections for the period were 93.8% of billed charges, with bad debt of 3.2% of gross potential income.

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